

ACCTG 211H — Mechanics Drill Set

Week 8 — Long-Term Assets, Depreciation, and Impairment

i Graded for **completion**. Work each drill by hand, then check the answer key (posted separately) and re-do any you missed before the quiz.

Drill Set

Quick, single-skill reps to build mechanical fluency before the week's first class. Graded for **completion** — work each one by hand, then check it against the key that follows and re-do any you missed.

1. (*Capitalized cost.*) A firm buys a machine: invoice price \$50,000, freight-in \$2,000, installation \$3,000, and the first year's insurance \$1,500. Compute the cost to be capitalized.
2. (*Straight-line depreciation.*) The machine costs \$55,000, has a \$5,000 salvage value, and a five-year useful life. Compute annual depreciation and the book value at the end of year 2.
3. (*Double-declining-balance.*) For the same machine (cost \$55,000, salvage \$5,000, five-year life), compute depreciation expense for years 1 and 2 under the double-declining-balance method.
4. (*Units-of-production.*) A machine costs \$80,000, has an \$8,000 salvage value, and is expected to produce 180,000 units over its life. It produces 30,000 units in year 1. Compute year-1 depreciation.
5. (*Partial-year depreciation.*) Equipment costing \$24,000 (no salvage, four-year life, straight-line) is purchased on October 1. Compute depreciation for the first partial calendar year.
6. (*Disposal.*) Equipment with a cost of \$40,000 and accumulated depreciation of \$30,000 is sold for \$7,000. Compute the gain or loss and record the journal entry.
7. (*Impairment.*) A long-lived asset has a book value of \$120,000, estimated undiscounted future cash flows of \$110,000, and a fair value of \$95,000. Is the asset impaired, and if so, by how much?
8. (*Goodwill.*) An acquirer pays \$500,000 for a target whose identifiable net assets have a fair value of \$430,000. Compute goodwill.
9. (*Intangible amortization.*) A patent is acquired for \$60,000 and has a remaining useful life of ten years. Compute annual amortization and the carrying value at the end of year 3.